PALM HILLS DEVELOPMENTS

Egyptian Exchange · PHDC · Egyptian pounds · edition of 3 September 2026

READ FIRST

This is a valuation study, not advice. It carries no rating, no recommendation and no price target. What it publishes is a range of value and the reasoning behind it, so that a reader can disagree with the reasoning rather than with a number.

It supersedes the edition of 30 August 2026, and it changes three things in it, each found by a review of that edition against the company's filings on 1 September 2026 and each set out where it applies. First, the bridge from enterprise value to equity, the book value and the borrowings now stand on the balance sheet of 31 March 2026 — reviewed, and posted to the company's own result centre with the first-quarter results the earlier edition already used — rather than on 31 December 2025 (section 1.1, Appendix A.2). Second, minority shareholders in subsidiaries are now deducted at their share of value; the earlier edition deducted nothing for them (section 1.1). Third, normalised earnings are capitalised at the cost of equity less the same growth the cash-flow model carries, where the earlier edition capitalised them at the cost of equity alone — which in a currency whose discount rate embeds Egyptian inflation assumes a perpetual decline in real terms that nothing in the company's record supports (section 1.4). The discount rate, the forecast and the lens weights are unchanged. The central figure moves from EGP 10.94 to EGP 17.85 a share.

Two things in the edition of 11 June 2026 were wrong and remain corrected, and both are set out plainly in section 1.8 rather than buried: its discount rate was below Egypt's own government bond yield, and the project-level price and cost table it valued the company on is not disclosed by the company anywhere.

The company's own audited statements are the only source used for its reported history. Where something needed is not disclosed, this study says so and does not fill the hole. There are six such gaps and they are listed in section 7.

Information set: everything the company had published as at 2 September 2026, which ends at its first-quarter 2026 results — the reviewed statements of 31 March 2026 included. No half-year 2026 figures had been released at that date.

Headline

Palm Hills is worth EGP 17.85 a share on a base case built from the company's own units and prices, in a range of EGP 4.01 to EGP 46.50 across the full observed range of the one thing that decides it. The shares trade at EGP 14.40.

- The forecast is built from units and prices the company itself discloses: 5,633 units sold across three regions at EGP 15.70 to 25.09 million a unit, and separately 2,035 units delivered at EGP 19.73 million of revenue each, because units handed over were contracted years earlier at lower prices.
- The company's cost of capital, built from the ground up, is 25.11% against an Egyptian ten-year government bond yield of 23.00%. It CHANGED in this edition: the equity risk premium moved from the credit-rating basis to the traded default-swap basis, which is the house default and which the other studies in this market already use, and the rate fell

from 26.10% to 25.11%. Both bases are published in section 1.8. The change RAISES the value, and it was made for consistency across the book rather than for its direction.

- Value turns on how quickly contracted sales become cash. Over the three years the company has published a cash-flow statement, operating cash was 4.3%, 17.9% and 3.9% of revenue. At the low end the shares are worth EGP 6.14; at the high end, EGP 40.29.
- At the closing price of EGP 14.40 the market is paying for a conversion rate of 7.3% — above the two weak years, well below the strong one.
- The contracted order book stands at EGP 263bn against 2025 revenue of EGP 36.2bn. What limits this company is how fast it can build and hand over, not whether it can sell.

Valuation summary — every read at a glance

Lens	Low	Central	High	Role
Discounted cash flow	4.01	17.85	46.50	the central
Earnings multiple on own history	5.59	8.39	13.05	cross-check
Book value of equity — a disclosed floor	5.97	6.63	8.62	cross-check
Market price, 3 September 2026		14.40		
vs the central		-19%		

EGP per share. The cash-flow lens is the central because it is the only one built from the company's own units and prices; the others are cross-checks, published so that a reader can see where they disagree. They are NOT averaged into the central. An earlier edition blended all four at fixed weights, and because three of the four value a developer on its reported earnings and its historical-cost book — a floor for a company whose worth sits in an undelivered order book — the blend read as a value when it was measuring a floor.

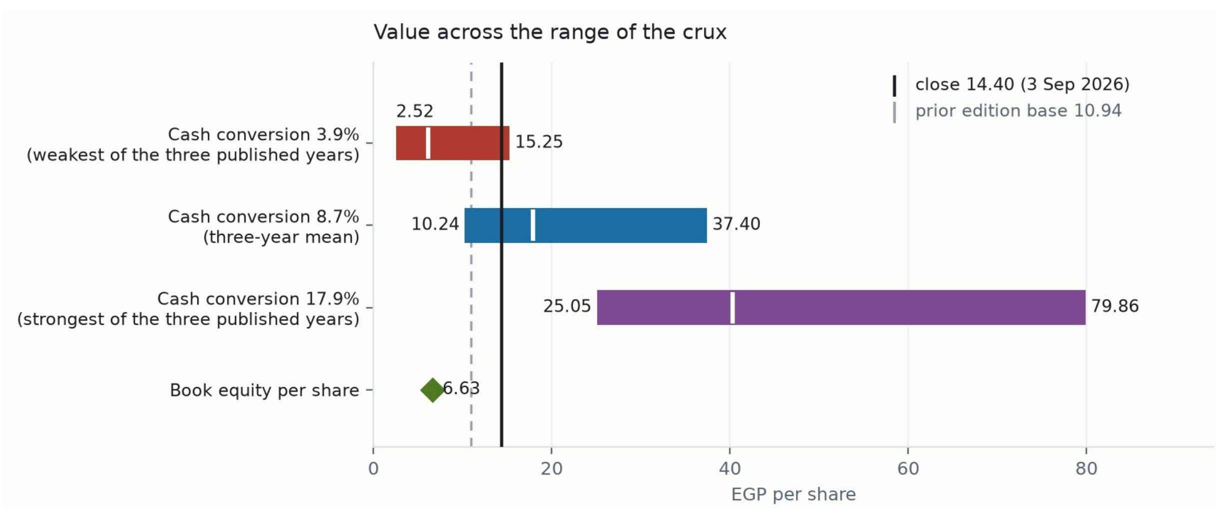

Figure 1 — each bar is one observed rate of cash conversion; the bar spans the discount rate from four points below the rebuilt cost of capital to four points above, and the white tick marks the value at the rebuilt rate itself. Shown against the closing price and the 30 August 2026 edition's central figure.

Company overview

Palm Hills Developments builds and sells residential and commercial property in Egypt, principally in West Cairo, East Cairo, and the North Coast and Alexandria. It has been listed on the Egyptian Exchange since 2008. Units are sold off plan and paid for in instalments over several years, so the company collects cash long before, and long after, it recognises the sale.

Two things follow from that model and they shape everything in this study. First, revenue is recognised as construction completes rather than when a contract is signed, so the order book and the income statement move on different clocks. Second, the balance sheet carries a very large receivable book — EGP 103.5bn at the end of 2025 — against customer advances of EGP 69.4bn.

	2025	2024
Revenue (EGP mn)	36,169	27,167
Gross profit (EGP mn)	14,888	9,330
Gross margin	41.2%	34.3%
Profit after tax and minority (EGP mn)	4,217	3,255
Cash from operations (EGP mn)	1,424	4,855
Order book (EGP mn)	263,000 (at 31 Mar 2026)	147,000
Total assets (EGP mn)	172,130	123,437
Shareholders' funds (EGP mn)	18,766	14,625

Source: the company's audited consolidated financial statements and its own results releases.

1 Fundamental valuation

1.1 The cash-flow model

The model runs five years from the audited 2025 base and then a terminal value. Revenue is limited by how much the company can build and hand over, not by how much it has sold: the order book is EGP 263bn against 2025 revenue of EGP 36.2bn, so sales are not the binding constraint and have not been for some years. Revenue is therefore units handed over times the revenue each one carries — 2,035 units in 2026, growing 15 per cent a year on the company's own disclosed run of handovers, at EGP 19.73 million a unit escalating with inflation. Nothing here is a ratio applied to last year's revenue.

Cost is recognised on the same completion schedule as revenue. That sounds obvious and it is the single most important correction in this edition. Since January 2016 the company has recognised revenue on standalone units as construction progresses; a model that accrues revenue that way but accrues cost on handover has the two legs on different clocks, and it systematically overstates profit. Gross margin here is an output of price against cost, never an input.

EGP mn unless stated	2026	2027	2028	2029	2030	2035	2040
Units sold	5,633	5,633	5,633	5,633	5,633	5,633	5,633
New sales (EGP mn)	129,712	145,277	158,352	170,229	182,145	255,468	358,306
Units delivered	2,035	2,340	2,656	2,975	3,287	4,395	4,461
Revenue per delivered unit (EGP mn)	19.73	22.10	24.08	25.89	27.70	38.85	54.49

EGP mn unless stated	2026	2027	2028	2029	2030	2035	2040
Revenue	40,148	51,711	63,974	77,024	91,070	170,760	243,093
Cost per delivered unit (EGP mn)	12.73	14.25	15.54	16.70	17.87	25.07	35.16
Cost of revenue	25,902	33,362	41,273	49,693	58,755	110,168	156,834
Gross profit	14,246	18,349	22,700	27,331	32,315	60,592	86,259
Gross margin (output)	35.5%	35.5%	35.5%	35.5%	35.5%	35.5%	35.5%
Overheads	7,066	9,101	11,259	13,556	16,028	30,053	42,783
Depreciation and amortisation	393	506	626	753	891	1,670	2,377
Operating profit	6,788	8,742	10,816	13,022	15,397	28,870	41,099
Finance cost	3,348	3,348	3,348	3,348	3,348	3,348	3,348
Profit before tax	3,440	5,395	7,468	9,675	12,049	25,522	37,751
Tax rate	22.5%	22.5%	22.5%	22.5%	22.5%	22.5%	22.5%
Net profit	2,666	4,181	5,788	7,498	9,338	19,780	29,257
Earnings per share (EGP)	0.93	1.46	2.02	2.62	3.27	6.92	10.23
Order book, closing	352,564	446,131	540,510	633,714	724,789	1,152,921	1,658,388

Every line follows from the two engines above. Gross margin is what price per unit and cost per unit leave behind, not an assumption.

Three anchors hold this table to what was actually reported. FY2026 is part-reported: the company disclosed first-quarter revenue of EGP 9,300 million, up 11 per cent on the same quarter of 2025, which places that quarter at 23.2 per cent of the full year and gives an FY2026 revenue anchor of EGP 40,148 million from the actual rather than from a trend. The finance charge is the disclosed rate on the interest-bearing borrowings, 13.91 per cent, not the 25.50 per cent marginal rate used for discounting — a large part of the balance does not bear interest and part of the charge is capitalised into work in progress. And the gross margin is held at 35.5 per cent, the average of the last two disclosures.

One drift was measured and deliberately not carried. The move from a 41.2 per cent gross margin in 2025 to 35.5 per cent in the first quarter of 2026 implies cost rising about 9.6 per cent a year faster than price. Compounded over five years that takes gross margin to 7.5 per cent and the company to a loss by 2030 — on the strength of one quarter against one year, for a developer whose margin moves with which project happens to hand over. It is sensitised in section 1.9 instead of extrapolated.

Revenue, years three to five (EGP mn)	Low	Point	High
2028	28,876	63,974	121,224
2029	37,188	77,024	163,342
2030	59,447	91,070	152,199

The band is this method's OWN measured error at each horizon, taken from testing it across ten annual starting points on the company's 2011-2025 history. It is not a scenario; it is the spread the method has actually produced.

The cash-flow calculation in full

Operating profit is not cash, and for a developer selling on instalments the gap between the two is the whole question. The table below runs every step from operating profit to a present value, year by year, with nothing collapsed.

EGP million	2026	2027	2028	2029	2030	2035	2040
Operating profit	6,788	8,742	10,816	13,022	15,397	28,870	41,099
Cash from operations	3,498	4,506	5,574	6,712	7,936	14,879	21,182
as a share of revenue	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%
plus finance cost, after tax	2,594	2,594	2,594	2,594	2,594	2,594	2,594
less capital expenditure	401	517	640	770	911	1,708	2,431
Free cash flow to the firm	5,691	6,583	7,529	8,536	9,619	15,766	21,346
Cost of capital, that year	25.1%	21.9%	19.4%	17.4%	16.2%	16.2%	16.2%
Discount factor	0.799	0.656	0.549	0.468	0.403	0.190	0.090
Present value	4,549	4,316	4,136	3,993	3,874	3,003	1,923

The finance charge is added back after tax because the discount rate already carries the cost of debt; leaving it in the cash flow would charge for the same thing twice. Capital expenditure is maintenance only, at one per cent of revenue: for this company the building itself is inventory, and it is already inside operating cash.

Bridge from enterprise value to equity, base case	EGP mn
Present value of the explicit 15 years	49,462.4
Present value beyond year 15	22,474.6
Enterprise value	71,936.9
less net debt, 31 March 2026	-23,244.7
plus investments in associates	3,838.7
plus investment property	1,020.5
Equity value before minority interests	53,551.4
less minority interests at their share of value	-2,508.2
Equity value attributable to shareholders	51,043.2
Shares outstanding, millions	2,859.9
Value per share, EGP	17.85

The terminal value is 31 per cent of enterprise value, which is high and is one reason the range is published rather than a point.

What the two statements disagree about, and why it is not resolved here

The audited balance sheet and the audited cash-flow statement tell different stories about the same year, and the difference is the largest single uncertainty in this valuation. Working capital on the balance sheet rose EGP 20,085 million in 2025. Net profit plus depreciation less the operating cash the company reported implies it rose EGP 3,146 million. The difference is EGP 16,938 million — 46.8 per cent of the year's revenue.

A difference that size is not depreciation and it is not capitalised interest. It is consolidation, land taken on deferred terms, and reclassification inside a book where revenue is recognised as construction progresses. The 2025 cash-flow statement is published in its three totals only, so the difference cannot be split from what the company has disclosed. It is therefore not split. It is measured, recorded in the register of what is missing, and the forecast is published two ways around it rather than one — set out in full in Appendix A.3.

The collection cycle, as reported	2025	2024
Collection period, days	1045	1035
Work in progress, days of cost	304	270
Suppliers, days of cost	66	70
Customer advances, share of the order book	26.4%	32.2%
Net working capital (EGP mn)	62,324	42,239
as a multiple of revenue	1.72	1.55

Both years measured the same way on the two audited sheets. The collection period is close to three years because units are sold on multi-year instalments; customer advances against the order book are what funds the building in the meantime.

1.2 Book value and sustainable return

Shareholders' funds attributable to the parent were EGP 18,956 million at 31 March 2026, or EGP 6.63 a share, against a market price of EGP 14.40 — the shares change hands at about 2.2 times book. The earlier edition divided total equity, minority interests included, by the parent's shares; this one puts the numerator on the same footing as the share count, and on the latest disclosed sheet. Profit after tax and minority interest of EGP 4,217 million in 2025 on average shareholders' funds gives a return on equity of roughly 25.3%. Against a cost of equity of 31.3%, the company is not currently earning its cost of capital on book, which is why book value sits well below every cash-flow read in this study rather than acting as a floor.

1.3 Relative multiples

The Egyptian listed developers are compared in Appendix B on the measures that can actually be sourced for all of them on the same basis. Earnings and book multiples for the peer group are NOT published here: no peer discloses figures this study can obtain on a consistent basis, and a multiple assembled from inconsistent or unsourced inputs would look precise and mean nothing. What is comparable is market risk, and on that measure Palm Hills sits in the middle of its sector.

1.4 Normalised earnings power

Normalising on the three disclosed years, revenue converts to gross profit at about 38.3%, overheads absorb about 17.6% of revenue, and interest on the disclosed borrowings absorbs a further large share. The result is a company whose accounting profit is real but whose cash profit is small and volatile: EGP 1,424 million of operating cash in 2025 on EGP 36,169 million of revenue, against EGP 4,855 million on EGP 27,167 million the year before.

Normalised earnings of EGP 4,622 million — the average of the last two years' revenue carried one year forward at inflation, at the 2025 net margin of 11.7% — would capitalise at the cost of equity of 31.26% less growth to about EGP 6.66 a share, and at the cost of equity alone, as an earlier edition did, to EGP 5.17. Neither figure is published as a lens here, and the reason is not the arithmetic. This company recognises revenue when a project completes, so its reported earnings in any year are an accident of which project happened to complete: capitalising a mid-cycle figure treats that schedule as though it were a steady state. The working is kept as a diagnostic in the workbook and it claims nothing.

1.5 Synthesis — the lenses in one field

The lenses disagree, and the disagreement is the information — but one of them is the answer and the others are checks on it. The cash-flow lens is the central: it is the only one built from the company's own units and prices, and it is the only one that values an order book the company has sold but not yet handed over. The multiple on its own trading history sits at EGP 8.39 and book value at EGP 6.63, and both are lower for the same reason: they measure what has been reported, and what has been reported does not yet include a backlog carried at historical cost in a currency that has lost most of its value since 2022. That is a floor, and it is published as one.

Lens	Low	Central	High	Role	What moves it
Discounted cash flow	4.01	17.85	46.50	the central	cash conversion, then the cost of capital
Earnings multiple on own history	5.59	8.39	13.05	cross-check	the multiple the shares have historically carried, 6x to 14x
Book value of equity — a disclosed floor	5.97	6.63	8.62	cross-check	nothing — it is a reported figure

EGP per share, against a close of EGP 14.40. The cash-flow lens is the central and the others are cross-checks; they are not averaged. Normalised earnings power, which an earlier edition carried at a fifth of the weight, is not published as a lens here at all: a developer that recognises revenue when a project completes reports earnings that are an accident of which project completed in which year, and capitalising a mid-cycle figure treats that schedule as a steady state. The working is kept in the workbook as a diagnostic and claims nothing.

1.6 Drivers — units and prices, by region

This is what the forecast is built from. For each operating region the company publishes both the value of new sales and the number of units behind it, so the average selling price per unit is a realised figure, not an assumption. Dividing one disclosure by the other is the only step taken.

North Coast & Alexandria

Disclosed	2020	2021	2022	2023	2024
New sales (EGP mn)	4,205	7,139	5,627	13,900	95,082
Units sold	726	1,552	800	1,231	4,192
Price per unit (EGP mn)	5.79	4.60	7.03	11.29	22.68

Carried forward at 2,074 units, the average of the last three disclosed years, at a starting price of EGP 22.68 million a unit, the price realised in 2024, escalated with Egyptian inflation.

West Cairo & Badya

Disclosed	2020	2021	2022	2023	2024
New sales (EGP mn)	6,627	7,258	13,118	32,332	44,570
Units sold	858	1,416	2,039	2,950	2,839
Price per unit (EGP mn)	7.72	5.13	6.43	10.96	15.70

Carried forward at 2,609 units, the average of the last three disclosed years, at a starting price of EGP 15.70 million a unit, the price realised in 2024, escalated with Egyptian inflation.

East Cairo

Disclosed	2020	2021	2022	2023	2024
New sales (EGP mn)	1,947	2,892	7,265	13,270	11,364
Units sold	256	382	1,194	1,200	453
Price per unit (EGP mn)	7.61	7.57	6.08	11.06	25.09

Carried forward at 949 units, the average of the last three disclosed years, at a starting price of EGP 25.09 million a unit, the price realised in 2024, escalated with Egyptian inflation.

The three regions reconcile to the group total the same release prints: for 2024, 44,570 plus 95,082 plus 11,364 is 151,016, which is the all-regions figure exactly. That reconciliation is checked in code, so a mis-read series fails loudly rather than quietly becoming a price.

Revenue is driven by a different quantity from new sales, and the distinction matters. A unit handed over in 2026 was contracted years earlier at that year's price, so revenue per delivered unit sits below the current selling price — EGP 19.73 million against regional prices of EGP 15.70 to 25.09 million. That gap is why the order book keeps building even as deliveries rise, and it is the single clearest fact about how this business converts sales into reported revenue.

What is NOT disclosed, and therefore not used: unit mix, average unit size, price per square metre and construction cost per square metre, for any project. The edition of 11 June 2026 carried a full table of those figures across fifteen named projects. None of it is published by the company. It is not reused here, and the forecast is built at the finest level the disclosure actually supports.

1.7 The crux

How fast do contracted sales become cash?

Everything else in this study is secondary to that question. Palm Hills sells off plan on long instalment terms, so a sale signed today produces cash over several years on a schedule the company does not publish — no down-payment percentage, no instalment tenor, no post-handover tail. The edition of 11 June 2026 assumed all three. This edition measures the outcome instead, from the three years in which the company has published a cash-flow statement.

Year	Cash from operations (EGP mn)	Revenue (EGP mn)	Cash as a share of revenue
2023	757	17,462	4.3%
2024	4,855	27,167	17.9%
2025	1,424	36,169	3.9%

The 2024 figure is the one in the audited statements. The company's own results release for that year reported EGP 3,132 million and the figure was later restated; the audited number is used.

A spread of 3.9% to 17.9% over three consecutive years is not noise around a stable rate — it is the absence of a stable rate. Until the company discloses its collection terms, or until more years accumulate, this is the honest width of the answer.

1.8 Macro, country risk and the cost of capital

The edition of 11 June 2026 discounted at 18%. Egypt's ten-year government bond yields 23.00%. A discount rate below the sovereign yield prices this company as safer than the government that taxes it, which cannot be right, and it is not a real-versus-nominal mismatch: that edition escalated selling prices at 14 per cent a year, so its cash flows were in nominal pounds throughout.

Cost of capital	On the credit-rating basis	On the credit-default-swap basis
Egyptian ten-year government bond yield	23.00%	23.00%
less Egypt's own sovereign default spread	6.37%	3.41%
Normalised risk-free rate	16.63%	19.59%
Equity risk premium for Egypt	13.94%	9.41%
Beta	1.0493	1.0493
Cost of equity	31.26%	29.46%
Cost of debt before tax	25.50%	25.50%
Cost of debt after tax at 22.5%	19.76%	19.76%
Equity weight at market value	55.1%	55.1%
Debt weight	44.9%	44.9%
Weighted average cost of capital	26.10%	25.11% ← ADOPTED

Country risk is counted once, inside the equity risk premium, and the government bond yield is reduced by Egypt's own default spread on the matching basis before that premium is added. Both bases are published because both are defensible and they differ by about a point.

The beta is measured on Palm Hills' own weekly price history against the EGX30 index over 4.85 years: 1.0493, with a standard error of 0.1823, an R-squared of 29.9% and 251 weekly observations. A cross-check adjustment toward the market gives 1.0329. Appendix B shows the same measurement for every listed Egyptian developer.

The cost of debt is the one cost-of-capital input in this study that is not sourced, and it is flagged. The right anchor exists: the company closed an EGP 2,015 million securitisation on 4 February 2026, the first draw on a newly approved EGP 30 billion programme, in four tranches of 13, 36, 60 and 84 months rated AA+, AA, A+ and A- on the Egyptian national scale. No coupon is published for any tranche. The cost of debt is therefore built as the sovereign yield plus a 250 basis point corporate spread, which puts it above the sovereign as it must be. The accounting rate is deliberately not used: EGP 3,348 million of finance cost on average gross borrowings of about EGP 26,700 million implies 12.5 per cent, far below the sovereign, because much of the balance does not bear interest and part of the charge is capitalised into work in progress.

1.9 Sensitivity

The table below prices the crux against the discount rate. Read it down a column rather than across a row. Moving the discount rate across the whole 800 basis points of the 11 June 2026 edition's error is worth EGP 27.16 a share on the three-year-mean row — MORE than either single step between observed conversion years (EGP 11.71 and EGP 22.44), and less than the full observed range of conversion itself, which is worth EGP 34.15. The crux is the conversion rate, but only across its whole observed spread; one year to the next moves value less than the discount rate does.

Cash conversion	**21.11%**	**23.11%**	**25.11%**	**27.11%**	**29.11%**
3.9%	15.25	9.44	6.14	4.01	2.52
6.0%	24.81	16.10	11.20	8.05	5.86
8.7%	37.40	24.88	17.85	13.36	10.24
12.0%	52.64	35.50	25.90	19.78	15.56
17.9%	79.86	54.48	40.29	31.27	25.05

Value per share in Egyptian pounds. The closing price on 3 September 2026 was EGP 14.40.

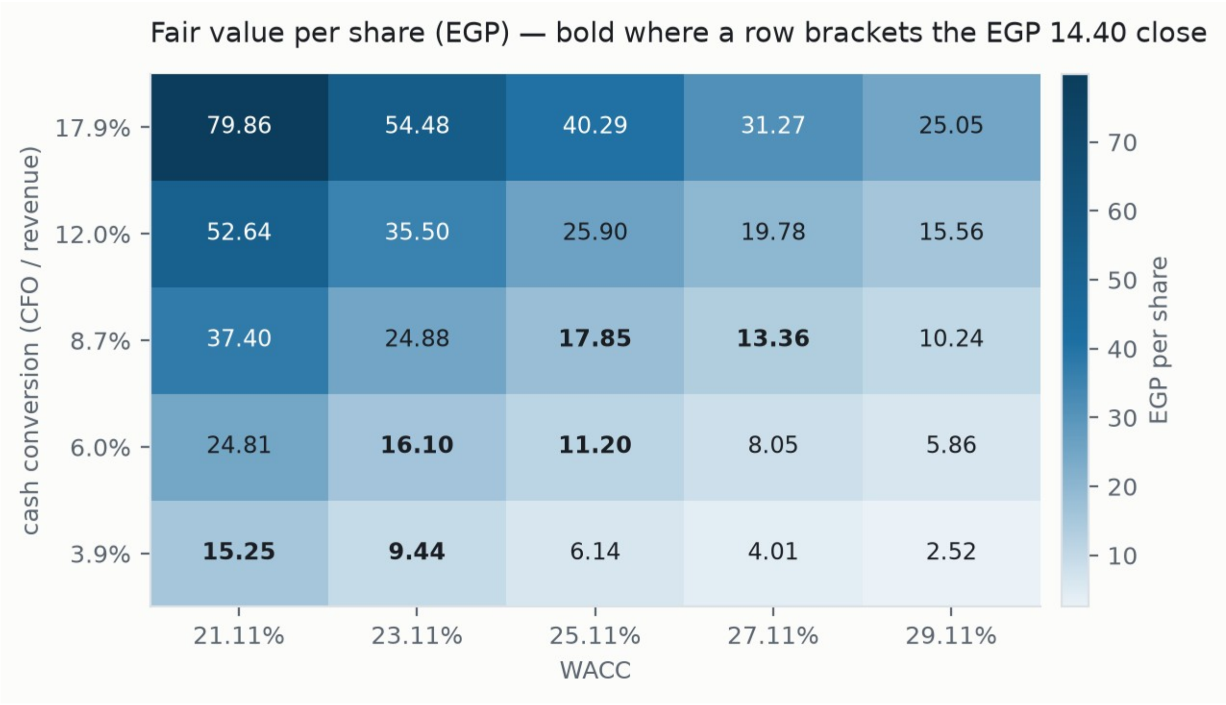

Figure 2 — the same grid. Darker cells are higher values; the two axes are the discount rate and the rate at which contracted sales turn into cash.

Solving the model back to the closing price gives a cash-conversion rate of 7.3%. That is the clearest single statement this study can make about the current price: the market is paying for conversion better than 2023 and 2025 delivered, and materially worse than 2024 did.

2 Technical and price structure

The shares closed at EGP 15.20 on 23 August 2026, above a rising 20-day average at 15.15, a rising 50-day at 15.10 and a rising 200-day at 10.95. The whole moving-average stack is beneath the price and sloping up, which is the least ambiguous configuration a trend read produces.

Resistance	EGP	Support	EGP
First	15.38	First	14.99
Second	15.73	Second	14.40
Third	16.08	Third	13.01

Levels are computed from the same cleaned price history the distribution in section 3 is built on; first resistance and first support are always the nearest to the close.

The levels sit close together — first resistance is 1.2 per cent above the close and first support 1.4 per cent below — so the near-term structure is tight and offers little information on its own. The 200-day average at 10.95 is far below the price, which is a consequence of how much the shares have risen, not a signal.

3 A probabilistic price map

This section is not a forecast and does not connect to the valuation above. It is a statement of how widely the price has historically moved over one and three months, expressed as a distribution.

Percentile	One month (EGP)	Three months (EGP)
5th	13.08	11.98
25th	14.67	14.61
50th	15.64	16.34
75th	16.68	18.27
95th	18.71	22.26

Resolving 2026-09-23 and 2026-11-23 respectively.

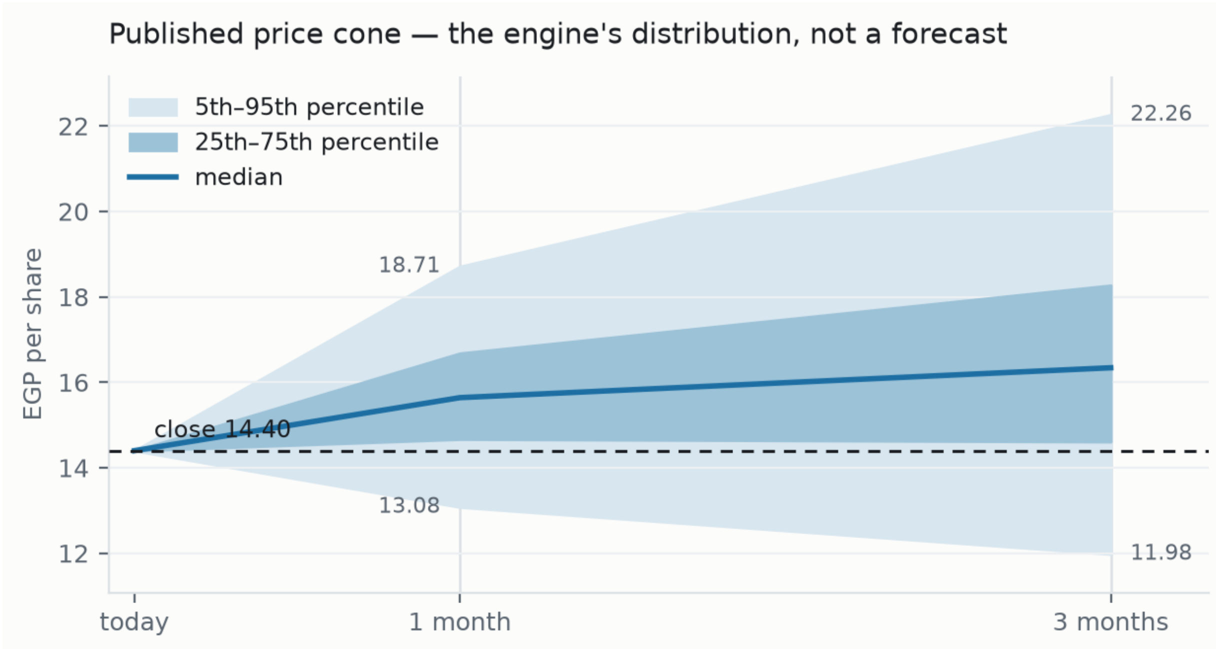

Figure 3 — the same distribution drawn as a cone. The shaded bands are the middle half and the 5th-to-95th range.

Over 57 resolved three-month forecasts on this company, the price finished inside the 90 per cent band 91.2% of the time, and inside the middle band 50.9% of the time. That is a long record by the standards of this series. The bands are about 1.47 times as wide as a simple random-walk band over the same horizon, which is what Egyptian devaluation risk costs in width.

Level (EGP)	Chance of touching within one month	Within three months
20.00	3%	19%
18.50	9%	35%
17.50	20%	51%
16.50	43%	71%
15.55	80%	90%

The chance that the price trades at or through each level at any point in the window, not the chance it ends there.

Price data to 2026-08-23, computed 2026-08-24; the trend read uses data to 2026-08-23, computed 2026-08-25.

4 Comparison of the lenses

The three readings are deliberately independent — none is an input to another — so where they agree, the agreement carries information.

Lens	What it says	Relative to the EGP 14.40 close
Fundamental value	EGP 6.14 to EGP 40.29 depending on cash conversion	the close sits inside the range, near its lower half

Lens	What it says	Relative to the EGP 14.40 close
Price distribution	three-month middle band EGP 14.61 to 18.27	the distribution is centred slightly above the close
Trend structure	above a rising 20-, 50- and 200-day average	constructive, with resistance only 6.8 per cent away

They point the same way without being made to. The fundamental range brackets the price, the distribution is mildly positive and the trend is intact. None of that resolves the crux in section 1.7.

5 Catalysts to watch

- The half-year 2026 results. None had been published as at 30 August 2026, which is itself notable this late in the year.
- The full-year 2025 results release. The audited statements were published but the accompanying release, which is where units sold, new sales, deliveries and construction spending are disclosed, was not.
- Any disclosure of collection terms — down payment, instalment tenor, post-handover tail. This is the single disclosure that would most narrow the range in this study.
- Progress on the EGP 30 billion securitisation programme. Selling receivables converts the instalment book to cash and is the direct lever on the crux; pricing on any tranche would also fix the cost of debt.
- The Village de La Capitale launch, which contributed EGP 24 billion of the EGP 52 billion of first-quarter 2026 sales. Whether that rate of launch sales repeats materially changes the order book path.
- Egyptian interest rates. The cost of capital here is built on a 23.00% sovereign yield; a sustained fall would raise every figure in section 1.9.

6 Reading the probability zones

The bands in section 3 describe where the price has tended to go, not where it should go. They are wide because Egyptian equities are genuinely volatile: the middle half of the three-month distribution spans EGP 14.61 to EGP 18.27, a range of about 25 per cent of the current price. A reader who wants a narrower band is asking for a less honest one.

The touch ladder answers a different question from the percentile map. A level with a 51 per cent chance of being touched inside three months is not a level with a 51 per cent chance of holding — prices pass through levels far more often than they settle at them.

7 Caveats and what would change our mind

Six things are not disclosed by the company and are therefore not in this study. Each is named with what would close it.

What is missing	Why it matters	What would close it
Collection schedule	Down payment, instalment tenor and post-handover tail are not published. This is the crux; it is measured from outcomes instead of built from terms.	Disclosure of contract terms.
Project unit economics	No per-project unit mix, unit area, price per square metre or construction cost per square metre is disclosed.	Project-level disclosure or an investor presentation carrying them.
Cost of debt	The February 2026 securitisation publishes sizes, tenors and ratings but no coupon.	A coupon on any tranche.
Full-year 2025 operating figures	The audited statements were published; the results release, which carries units and new sales, was not.	The 2025 results release.
Half-year 2026	Nothing newer than the first quarter of 2026 had been published as at this edition's date.	The half-year filing.

What would change our mind, in order of force:

- Two more years of cash conversion clustering. Three observations spanning 3.9% to 17.9% cannot distinguish a volatile business from a mismeasured one; five could.
- Disclosure of collection terms, which would replace the measured range with a built schedule and narrow the answer directly.
- A sustained fall in Egyptian interest rates, which lifts every cell in the sensitivity table.
- Evidence that the order book converts at the rate the company's delivery history implies rather than more slowly. The order book is now more than seven times revenue, against 5.4 times in 2024 and 3.4 times in 2023; that ratio has risen every year and cannot rise indefinitely.

A note on this study's own track record. Tested across ten annual starting points on this company's history from 2011 to 2025, this method forecast revenue tolerably but overstated net profit by about three times, consistently and in 97 per cent of tested cases, and did worse than simply assuming no change. The cause was the mismatched recognition clock corrected in section 1.1. That is why this edition publishes ranges rather than a central figure, and why the reader should treat the upper end of section 1.9 with more suspicion than the lower.

Appendix A Financial statements

A.1 Income statement

EGP million, as reported	2023	2024	2025
Revenue	17,462.1	27,167.3	36,169.3
Cost of revenue	-11,907.2	-17,739.9	-21,118.9
Cash discount	-47.2	-97.3	-162.8
Gross profit	5,507.6	9,330.1	14,887.6
Overheads	-2,060.5	-3,435.8	-6,365.6
Depreciation and amortisation	-178.6	-239.9	-353.7
Finance cost		-2,311.4	-3,347.5
Profit before tax	2,300.7	4,320.6	6,251.1
Tax	-567.3	-917.1	-1,827.2
Profit after tax	1,733.4	3,403.5	4,423.8
Minority interest	-151.9	-148.5	-207.2
Profit attributable to shareholders	1,581.5	3,254.9	4,216.7

Three years, each as that year's own audited statements reported it. Revenue less cost of revenue less the cash discount foots to reported gross profit in all three years, and profit before tax less tax less minority interest foots to the attributable figure.

One presentational difference is worth naming rather than smoothing. Cost of revenue for 2024 is EGP 17,739.9 million as the company reported it that year and EGP 17,837.2 million in the comparative column of the 2025 statements — a difference of EGP 97.3 million, exactly that year's cash discount, which the later presentation folds into cost. The forecast is built on the later basis throughout; the table above shows each year as first reported. Both figures are right on their own basis.

Forecast, EGP million	2026	2027	2028	2029	2030	2035	2040
Units delivered	2,035	2,340	2,656	2,975	3,287	4,395	4,461
Revenue per delivered unit	19.73	22.10	24.08	25.89	27.70	38.85	54.49
Revenue	40,148	51,711	63,974	77,024	91,070	170,760	243,093
Cost per delivered unit	12.73	14.25	15.54	16.70	17.87	25.07	35.16
Cost of revenue	-25,902	-33,362	-41,273	-49,693	-58,755	-110,168	-156,834
Gross profit	14,246	18,349	22,700	27,331	32,315	60,592	86,259
Gross margin	35.5%	35.5%	35.5%	35.5%	35.5%	35.5%	35.5%
Overheads	-7,066	-9,101	-11,259	-13,556	-16,028	-30,053	-42,783
Depreciation and amortisation	-393	-506	-626	-753	-891	-1,670	-2,377

Forecast, EGP million	2026	2027	2028	2029	2030	2035	2040
Operating profit	6,788	8,742	10,816	13,022	15,397	28,870	41,099
Finance cost	-3,348	-3,348	-3,348	-3,348	-3,348	-3,348	-3,348
Profit before tax	3,440	5,395	7,468	9,675	12,049	25,522	37,751
Tax	-774	-1,214	-1,680	-2,177	-2,711	-5,742	-8,494
Net profit	2,666	4,181	5,788	7,498	9,338	19,780	29,257
Earnings per share (EGP)	0.93	1.46	2.02	2.62	3.27	6.92	10.23

Five forecast years. Gross margin is what price per unit and cost per unit leave behind, never an input. Years three to five should be read against the range in section 1.9, not as points.

A.2 Balance sheet

EGP million, as reported	31 Mar 2026 (reviewed)	2025	2024
Non-current assets	63,115.1	65,900.2	54,166.4
of which notes receivable, long term	53,187.9	56,319.8	46,309.1
Current assets	114,863.9	106,229.6	69,270.9
of which work in progress	21,337.8	17,570.9	13,209.8
of which trade receivables	30,481.0	28,118.1	15,561.1
of which notes receivable, short term	17,788.2	19,073.0	15,148.4
of which cash	9,125.1	9,419.5	6,372.4
Total assets	177,979.0	172,129.8	123,437.3
Current liabilities	108,093.2	105,099.0	74,496.9
of which advances from customers	72,867.8	69,354.1	47,403.8
of which suppliers	5,340.1	3,807.0	3,426.7
Non-current liabilities	49,497.4	48,265.1	34,315.7
Total liabilities	157,590.6	153,364.1	108,812.6
Shareholders' funds	20,388.4	18,765.8	14,624.7
of which attributable to the parent	18,955.7	17,431.4	n/a
of which minority interests	1,432.7	1,334.3	n/a
Total equity and liabilities	177,979.0	172,129.8	123,437.3

As reported. Total assets equal total liabilities plus shareholders' funds on all three dates, and each subtotal reconciles to its components. The March 2026 column is the reviewed interim statement and is the sheet the bridge, the book value and the borrowings stand on; the split of shareholders' funds is not carried in the 2024 comparative column the study holds.

A.3 Forecast balance sheet and cash flow

Because the balance sheet and the cash-flow statement disagree about 2025 by EGP 16,938 million, and that difference cannot be split from what has been disclosed, the forecast is published two ways. Neither is averaged into the other. Both rest on the same income statement above; they differ only in what they hold fixed about cash.

- The first holds the collection cycle. Every working-capital line stays at the ratio to revenue it stood at in 2025, the balance sheet is built from those ratios, and operating cash is what is left. It asks what the growth costs to fund if nothing about collection changes.
- The second holds cash conversion. Operating cash is set at the company's own disclosed rate — 4.3, 17.9 and 3.9 per cent of revenue in the three published years, 8.7 per cent on average — and working capital is what is left. It asks what the collection cycle must do for the cash to keep converting as it has.

The valuation stands on the second, because that is the reading the company's own cash-flow statements support. The first is printed beside it because the two do not agree, and a single set of figures would hide that they don't.

If cash conversion holds — the basis of the valuation

Forecast balance sheet, EGP million	2026	2027	2028	2029	2030	2035	2040
Trade and notes receivable	102,781	103,081	104,475	107,031	110,840	151,036	224,555
Work in progress	17,447	17,498	17,734	18,168	18,815	25,638	38,118
Other receivables and prepayments	12,831	12,868	13,042	13,361	13,837	18,855	28,033
Advances to suppliers	8,992	9,019	9,141	9,364	9,697	13,214	19,646
Cash and equivalents	12,516	16,505	21,440	27,381	34,406	87,835	170,102
Property and equipment	4,531	4,542	4,556	4,573	4,594	4,747	4,982
Other assets, held at the 2025 level	15,128	15,128	15,128	15,128	15,128	15,128	15,128
Total assets	174,226	178,642	185,517	195,009	207,317	316,454	500,564
Customer advances	68,865	69,066	70,000	71,713	74,265	101,197	150,455
Suppliers	3,780	3,791	3,842	3,936	4,077	5,555	8,259
Other creditors	5,086	5,100	5,169	5,296	5,484	7,473	11,111
Cheques under collection	2,436	2,444	2,477	2,537	2,627	3,580	5,323
Borrowings	33,553	33,553	33,553	33,553	33,553	33,553	33,553
Other liabilities, held at the 2025 level	39,075	39,075	39,075	39,075	39,075	39,075	39,075
Total liabilities	152,794	153,029	154,116	156,110	159,081	190,433	247,776
Shareholders' funds	21,432	25,613	31,401	38,899	48,237	126,021	252,788
Total liabilities and equity	174,226	178,642	185,517	195,009	207,317	316,454	500,564

Assets equal liabilities plus shareholders' funds in every year, to the same tenth of a million the audited 2025 sheet itself foots to.

Forecast cash flow, EGP million	2026	2027	2028	2029	2030	2035	2040
Net profit	2,666	4,181	5,788	7,498	9,338	19,780	29,257
Depreciation and amortisation	393	506	626	753	891	1,670	2,377
Change in working capital, cash effect	440	-181	-839	-1,539	-2,293	-6,570	-10,452
Cash from operations	3,498	4,506	5,574	6,712	7,936	14,879	21,182
as a share of revenue	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%
Capital expenditure	-401	-517	-640	-770	-911	-1,708	-2,431
New borrowing drawn	0	0	0	0	0	0	0
Closing cash	12,516	16,505	21,440	27,381	34,406	87,835	170,102

The cycle this implies	2026	2027	2028	2029	2030	2035	2040
Collection period, days	934	728	596	507	444	323	337
Work in progress, days of cost	246	191	157	133	117	85	89
Suppliers, days of cost	53	41	34	29	25	18	19
Customer advances, share of the order book	19.5%	15.5%	13.0%	11.3%	10.2%	8.8%	9.1%
Net working capital	61,884	62,065	62,904	64,443	66,736	90,938	135,203
as a multiple of revenue	1.54	1.20	0.98	0.84	0.73	0.53	0.56

The collection period falls from 934 days to 337 over five years. That is what this reading requires, and it is a large improvement to take on trust — which is exactly why the other reading is printed too.

Free cash flow to the firm, EGP million	2026	2027	2028	2029	2030	2035	2040
Cash from operations	3,498	4,506	5,574	6,712	7,936	14,879	21,182
plus finance cost, after tax	2,594	2,594	2,594	2,594	2,594	2,594	2,594
less capital expenditure	-401	-517	-640	-770	-911	-1,708	-2,431
Free cash flow to the firm	5,691	6,583	7,529	8,536	9,619	15,766	21,346
Present value, on the schedule	4,549	4,316	4,136	3,993	3,874	3,003	1,923

These are the figures discounted in section 1.1, shown again here beside the statements they come out of.

If the collection cycle holds

Forecast balance sheet, EGP million	2026	2027	2028	2029	2030	2035	2040
Trade and notes receivable	114,897	147,987	183,083	220,432	260,627	488,690	695,694
Work in progress	19,504	25,121	31,078	37,418	44,241	82,955	118,093

Forecast balance sheet, EGP million	2026	2027	2028	2029	2030	2035	2040
Other receivables and prepayments	14,343	18,474	22,856	27,518	32,536	61,007	86,848
Advances to suppliers	10,052	12,947	16,018	19,286	22,802	42,756	60,866
Cash and equivalents	5,221	2,355	2,355	2,355	2,355	2,355	7,905
Property and equipment	4,531	4,542	4,556	4,573	4,594	4,747	4,982
Other assets, held at the 2025 level	15,128	15,128	15,128	15,128	15,128	15,128	15,128
Total assets	183,677	226,555	275,074	326,710	382,284	697,636	989,518
Customer advances	76,983	99,154	122,669	147,693	174,625	327,430	466,127
Suppliers	4,226	5,443	6,734	8,107	9,586	17,973	25,587
Other creditors	5,685	7,322	9,059	10,907	12,896	24,180	34,423
Cheques under collection	2,724	3,508	4,340	5,225	6,178	11,584	16,491
Borrowings	33,553	46,440	61,797	76,804	91,688	151,372	155,027
Other liabilities, held at the 2025 level	39,075	39,075	39,075	39,075	39,075	39,075	39,075
Total liabilities	162,245	200,943	243,673	287,811	334,047	571,615	736,730
Shareholders' funds	21,432	25,613	31,401	38,899	48,237	126,021	252,788
Total liabilities and equity	183,677	226,555	275,074	326,710	382,284	697,636	989,518

Assets equal liabilities plus shareholders' funds in every year, to the same tenth of a million the audited 2025 sheet itself foots to.

Forecast cash flow, EGP million	2026	2027	2028	2029	2030	2035	2040
Net profit	2,666	4,181	5,788	7,498	9,338	19,780	29,257
Depreciation and amortisation	393	506	626	753	891	1,670	2,377
Change in working capital, cash effect	-6,856	-19,924	-21,131	-22,488	-24,202	-27,259	-27,403
Cash from operations	-3,797	-15,237	-14,717	-14,237	-13,973	-5,809	4,231
as a share of revenue	-9.5%	-29.5%	-23.0%	-18.5%	-15.3%	-3.4%	1.7%
Capital expenditure	-401	-517	-640	-770	-911	-1,708	-2,431
New borrowing drawn	0	12,888	15,357	15,007	14,884	7,517	0
Closing cash	5,221	2,355	2,355	2,355	2,355	2,355	7,905

The cycle this implies	2026	2027	2028	2029	2030	2035	2040
Collection period, days	1045	1045	1045	1045	1045	1045	1045

The cycle this implies	**2026**	**2027**	**2028**	**2029**	**2030**	**2035**	**2040**
Work in progress, days of cost	275	275	275	275	275	275	275
Suppliers, days of cost	60	60	60	60	60	60	60
Customer advances, share of the order book	21.8%	22.2%	22.7%	23.3%	24.1%	28.4%	28.1%
Net working capital	69,179	89,103	110,233	132,721	156,923	294,238	418,874
as a multiple of revenue	1.72	1.72	1.72	1.72	1.72	1.72	1.72

Every ratio is held where 2025 left it, by construction. The customer-advance share rises only because the order book grows more slowly than revenue on this path.

This reading does not produce a value per share, and the reason is worth stating plainly rather than burying. Free cash flow is negative in every one of the five years and reaches minus EGP 4,395 million in 2030. A terminal value taken on a negative flow returns a large negative number that looks like a valuation and is not one: it asserts the company burns cash for ever at a compounding rate, which is not a forecast anybody made. So none is taken. What this reading measures instead is the funding the growth would need.

If the cycle holds, what the growth costs	**EGP mn**
Present value of the five forecast years	-39,018
New borrowing required by 2030	121,474
Its annual interest by 2030, at 25.50 per cent	30,976
That interest as a share of 2030 operating profit	75%

The interest on that borrowing is not in the profit forecast above, and by 2030 it would exceed operating profit outright. The collection cycle and this growth path cannot both hold — which is the finding, not a defect in the arithmetic.

Appendix B Peer frame, risk register and research register

B.1 The Egyptian listed developers

Code	Company	Beta	R-squared	Std error	Volatility	Worst fall
TMGH	Talaat Moustafa Group Holding	1.4718	32.6%	0.185	43.9%	-44.2%
PHDC	Palm Hills Developments	1.0493	29.9%	0.182	43.9%	-48.7%
ORHD	Orascom Development Egypt	0.8837	32.1%	0.173	46.4%	-42.9%
HELI	Heliopolis Housing and Develop	0.7653	28.8%	0.181	44.4%	-39.6%
EMFD	Emaar Misr for Development	0.7388	24.4%	0.169	41.1%	-47.1%
PRDC	Pioneers Properties for Urban	0.7067	25.8%	0.186	42.2%	-52.0%
OCDI	Sixth of October Development &	0.4938	10.3%	0.224	47.1%	-46.6%

Every measure computed on the same five-year window, through the same cleaning, against the same index. Volatility is annualised from weekly returns; worst fall is the deepest peak-to-trough decline over five years.

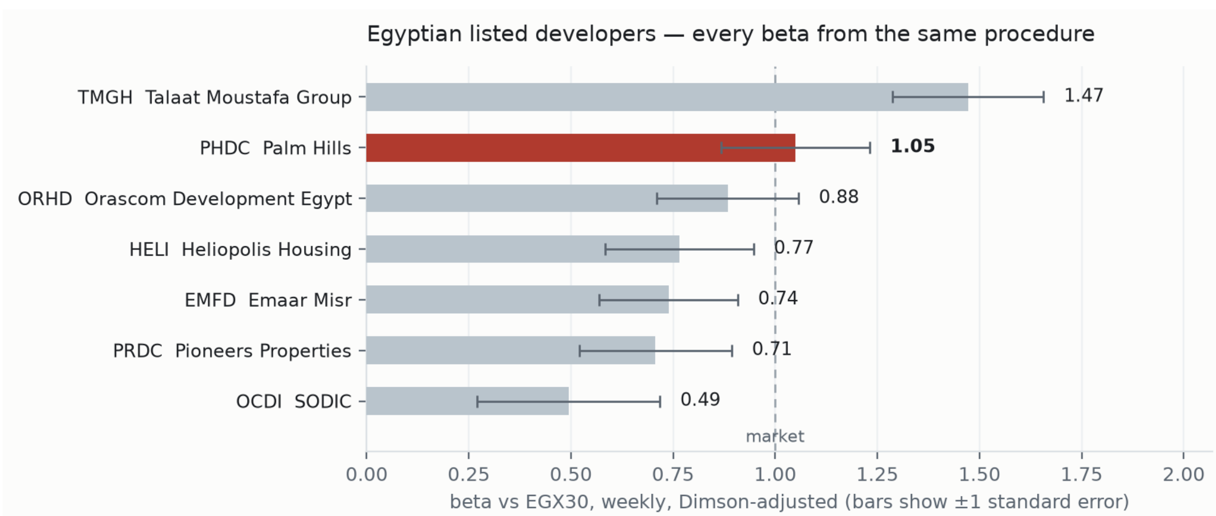

Figure 4 — the same betas with their standard errors. Palm Hills sits mid-sector: more market-sensitive than most of its peers, materially less so than the largest.

Earnings and book multiples for the peer group are not published in this study. No peer discloses financial statements this study can obtain on a consistent basis, and a multiple built from inconsistent inputs would carry more authority than it deserves. What is measured here is measured the same way for every name.

B.2 Risk register

Risk	How it would show up	Where it is priced
Cash conversion stays at the 2023 and 2025 rate	operating cash near 3.9% of revenue	bottom row of the table in section 1.9
Egyptian rates stay high or rise	cost of capital above 25.11%	right-hand columns of the same table
Order book converts more slowly than delivery history implies	the order book keeps rising as a multiple of revenue	section 7, fourth bullet
Currency devaluation	nominal figures rise, real value does not	the whole study is in nominal pounds; a devaluation moves the denominator too
Cost of debt above the assumed spread	finance cost above the modelled level	section 1.8; the spread is the one unsourced input

B.3 Research register

This study is built on 123 sourced inputs. Every reported historical comes from the company's own audited statements or its own results releases. The only third-party inputs are the exogenous macroeconomic series and the market price. A full register, with the value, source, date and provenance of each input, is published in the accompanying bibliography.

Appendix C Expert panel

Three readings of the same company by three different methods. The experts are identified by method, not by name.

C.1 Expert 1 — the discounted cash-flow analyst

Worldview: a company is worth the cash it will hand its owners, discounted at what that cash costs. When it works: businesses with stable conversion of profit to cash. When it fails: businesses where that conversion is the unknown — which is exactly this one.

Working	EGP mn
Present value of five explicit years	49,462
Present value beyond year five	22,475
Enterprise value	71,937
less net debt, 31 March 2026	(23,245)
plus associates and investment property, 31 March 2026	4,859
Equity before minority interests	53,551
less minority interests at their share of value	(2,508)
Equity attributable to shareholders	51,043
Per share (EGP)	17.85

Named sensitivity: a move in cash conversion from 3.9% to 17.9% takes the answer from EGP 6.14 to EGP 40.29. Falsifier stated in advance: if the 2026 and 2027 cash-flow statements show conversion inside two percentage points of 8.7%, this reading is right and the range should collapse toward its centre; if they straddle the full observed spread again, the method should be abandoned for this company.

C.2 Expert 2 — the asset-based analyst

Worldview: a developer is a pile of land, work in progress and receivables, less what it owes. Earnings are an accident of timing. When it works: asset-heavy businesses in distress or in wind-down. When it fails: going concerns whose value is in execution.

Working, on the reviewed balance sheet of 31 March 2026	EGP mn
Work in progress	21,338
Receivables, trade and instalment	101,457
Cash	9,125
Investments and investment property	4,859
less advances from customers	(72,868)
less gross borrowings	(32,369.8)

Working, on the reviewed balance sheet of 31 March 2026	EGP mn
less other liabilities, balancing	(52,352.9)
Shareholders' funds as reported	20,388
of which attributable to the parent	18,956
Per share, parent (EGP)	6.63

Named sensitivity: the instalment receivable book is carried at face value less unwinding discount. A 10 per cent write-down of that book would remove roughly EGP 9,923 million, about EGP 3.47 a share. Falsifier: evidence of material cancellations or receivable impairment would confirm this reading and invalidate the cash-flow one.

C.3 Expert 3 — the market-implied analyst

Worldview: do not value the company; ask what the price already assumes, then judge whether that assumption is reasonable. When it works: where a single variable dominates. When it fails: where the market is wrong about many things at once.

Working: holding the cost of capital at 25.11% and every other input at the audited 2025 base, the closing price of EGP 14.40 implies cash conversion of 7.3%. The company achieved 4.3% in 2023, 17.9% in 2024 and 3.9% in 2025. Named sensitivity: at a 26.10% cost of capital the implied rate would be lower still. Falsifier: if 2026 conversion prints above 7.3%, the price was too low.

C.4 Cross-examination

- Expert 2 to Expert 1: your terminal value is 31% of your answer, so you are mostly valuing years you cannot see. CONCEDED — it is why no single figure is published.
- Expert 1 to Expert 2: book value ignores that the company sells at roughly 41.2% gross margin, so its inventory is worth more than cost. CONCEDED — book is a floor, not a value.
- Expert 3 to both: you disagree by a factor of four and the market sits between you, so neither of you is adding information. REJECTED — the range is the information; a false point estimate would not be.
- Expert 2 to Expert 3: the price also reflects Egyptian equity risk appetite, not just this company's conversion rate. CONCEDED — the implied figure is a single-variable solve and is labelled as one.

C.5 The three in one room

They agree on the facts and disagree on one number. All three accept the audited 2025 base, the 25.11% cost of capital and the order book. Expert 1 needs a conversion rate to produce an answer; Expert 2 refuses to forecast one and prices the assets instead; Expert 3 asks what rate is already in the price. The room's joint position is that Palm Hills is worth between EGP 6.14 and EGP 40.29, that the price of EGP 14.40 sits in the lower half of that range, and that the width is a property of the disclosure rather than of the analysis.

C.6 Reading the divergence

Assumption	Expert 1	Expert 2	Expert 3	Drives the gap?
Cash conversion	3.9% to 17.9%	not forecast	7.3% implied	YES — this is the whole gap
Cost of capital	25.11%	not used	25.11%	no — shared
Receivable book	collected on schedule	at carrying value	as the market judges	partly
Terminal value	31% of the answer	none	none	yes for Expert 1 alone

One assumption explains almost all of the divergence, which is the clearest evidence that section 1.7 has identified the right crux.

About this series

These studies value a company from its own disclosures, publish the reasoning alongside the answer, and record what the method has historically got right and wrong on that company. They carry no rating and no price target. Where a company does not disclose something the valuation needs, the study says so and prices the consequence rather than filling the gap.

Disclosure and disclaimer